

11 Behaviour of the markets

2 primary questions | Oldest to newest

2026 objectives: 2.3.2-2.3.4

6 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

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[CA1-P2 | April 2008 | Q6](#)

20 marks

[CA1-P2 | September 2010 | Q3](#)

12 marks

CA1-P2 | April 2008 | Q6

Current topic | 20 marks total | Original PDF p3

Related: Ch 26, Ch 12.

6 A regional bank operates in a particular area of a country and provides residential mortgages.

- (i) Describe the sources of risks faced by this regional bank that relate to its residential mortgage business. [4]

The country's central bank increases short-term interest rates. Consequently, the regional bank's cost of borrowing rises and it decides to pass on its increased costs by increasing the interest rate it charges on residential mortgage lending.

- (ii) Describe the impact the changes might have on:
- (a) the economy as a whole;
 - (b) the regional bank in particular. [9]

Part of the regional bank's mortgage portfolio consists of residential mortgages where it has lent money to higher risk borrowers and is charging a higher mortgage interest rate. The regional bank has decided to reduce its credit risk by securitising this part of its portfolio.

- (iii) Describe the considerations an institutional investor should take into account in determining an appropriate price to pay for this investment. [7]
[Total 20]

CA1-P2 | September 2010 | Q3

Current topic | 12 marks total | Original PDF p2

Related: Ch 25.

- 3** In a developed economy, approximately 80% of the population own their own homes. The vast majority of house purchases are financed using mortgages with repayments typically being made over (or at the end of) 20 to 25 years.

A measure of house prices is known as the House Price Multiple (HPM), which is the ratio of the average house price compared to average earnings. Traditionally, the HPM has been around four. Over the last three years, the HPM has risen to around six.

Over the same period, interest rates on mortgages and the level of personal savings in the economy have been at historically low levels.

- (i) Describe the risks to the economy that could arise as a result of this increase in the HPM. [7]
- (ii) Explain the difficulties that the authorities could face if they try to reduce the HPM. [5]

[Total 12]